Alphabet Investment Thesis

Alphabet Inc. | Share class [GOOGL / GOOG]

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Valuation date 19/10/2026

Valuation metric	Base case
Estimated Value per share (DCF Value)	$115.52
Market price at valuation date	$343.22
Implied upside or downside	-66.34%
WACC	13.1%
Terminal growth rate	2.5%

1 Executive summary

This research assesses whether growth in Google Cloud and AI monetisation can generate sufficient cash flow to support Alphabet's valuation while sustaining profitability in its Search business.

My investment thesis centres on three propositions: Search can remain a durable source of cash generation; Google Cloud can contribute a greater share of operating profit; and the value created by AI will depend on whether incremental cash flows justify the associated infrastructure investment.

The analysis tests these propositions through historical financial analysis, five-year forecasts, discounted cash flow valuation and comparable company analysis. An investment recommendation will follow from the completed valuation, scenario analysis and assessment of the principal risks.

2 Company overview

This section will explain Alphabet's business through its reported segments: Google Services, Google Cloud and Other Bets. Within Google Services, the analysis will examine the disclosed revenue contributions of Search, YouTube and other activities.

Business Model
Alphabet, Google's parent company, specialises in digital advertising, online services, cloud computing and artificial intelligence. It operates through three segments: Google Services, which includes Search, YouTube and Android; Google Cloud, which provides business computing and AI services; and Other Bets, which includes emerging ventures such as Waymo. Google Services generates most of its revenue and profit, while Cloud is its fastest-growing segment. Its future performance depends on maintaining its advertising strength and converting investment in AI and cloud infrastructure into sustainable cash flow.

In FY2025 alone, Revenues were $402.8 billion, an increase of 15% year over year, primarily driven by an increase in Google Services revenues of $37.8 billion, or 12%, and an increase in Google Cloud revenues of $15.5 billion, or 36%.

Financial metric	Latest completed financial year
Revenue	$402.836
Revenue growth	15%
Operating income	$129,039
Operating margin	32%
Net Income	$132,170

3 Investment case summary

Thesis pillar	Proposition to test	Valuation implication
Search resilience	Preserve advertising demand and monetisation as search behaviour evolves.	Revenue durability and operating cash generation.
Cloud profitability	Grow Cloud while improving or sustaining operating economics.	Greater contribution to group operating profit.
AI investment returns	Additional revenue and efficiencies outweigh investment and operating costs.	Reinvestment needs and future free cash flow.

4 Investment thesis

4.1 Search resilience is central to the investment case

My first hypothesis is that Search can remain a durable source of cash generation despite changes in how users access information. The analysis will examine advertising revenue growth, competitive pressures and the economics of AI-enabled search. User adoption alone will not demonstrate financial success: Alphabet must also monetise usage while managing the cost of delivering results.

Model connection: Search revenue growth and Google Services operating margins. Evidence that would weaken this argument: sustained deterioration in advertising growth or profitability that cannot be explained by temporary economic conditions.

4.2 Google Cloud could become a more significant profit contributor

My second hypothesis is that Google Cloud can increase its contribution to Alphabet's operating profit as demand grows and infrastructure is used more efficiently. The key question is whether growth produces attractive incremental returns. Revenue expansion would be less valuable if it required persistently disproportionate investment or aggressive pricing.

Model connection: Google Cloud revenue growth, operating margins and allocated reinvestment assumptions. Evidence that would weaken this argument: slowing growth combined with weaker margins or investment requirements materially above the forecast.

4.3 AI creates value only if the investment earns sufficient returns

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My third hypothesis is that AI can support Alphabet's long-term value through product monetisation, customer demand and operating efficiencies. However, those benefits must be assessed alongside capital expenditure, depreciation and ongoing operating costs.

The base case will avoid if all AI investment immediately generates additional revenue. AI-related benefits will be reflected within the relevant business forecasts to prevent double-counting.

Model connection: revenue growth, operating costs, capital expenditure and depreciation. Evidence that would weaken this argument: capital spending remaining elevated without a corresponding improvement in sustainable cash generation.

5 Valuation

The primary valuation method will be a five-year discounted cash flow model using free cash flow to the firm and a perpetual-growth terminal value.

FCFF = EBIT × (1 − tax rate) + depreciation and amortisation − capital expenditure − increase in working capital.

Enterprise value will be adjusted for cash, debt and other relevant assets or claims to estimate equity value. The treatment of stock-based compensation, dilution and share repurchases will be explained explicitly.

Key assumption	Base case
WACC	15%
Terminal Growth Rate	32%
PV of Forecast UFCF	[X]%
Enterprise Value	[X]
Equity Value	[X]%
Diluted Shares	[X]%
Implied Share Price	
Model-Date Share Price	
Implied Downside	

6 Scenarios and sensitivity

Scenario	Operating assumptions	Value per share
Bear	Weaker Search performance, slower Cloud growth and sustained investment pressure.	$[X]
Base	[Central assumptions supported by the research.]	$[X]
Bull	Stronger monetisation, profitable Cloud growth and improving capital efficiency.	$[X]

Insert a WACC-versus-terminal-growth sensitivity table from the completed model. Operating scenarios will separately test changes in business performance. Terminal growth must remain below WACC.

7 Catalysts and indicators to monitor

Potential catalysts must represent developments that could change expectations, rather than simply describe desirable outcomes.

Potential development	Evidence to monitor
More effective AI monetisation	Relevant disclosures and changes in revenue and profitability.
Stronger Cloud economics	Revenue growth, operating profit and margin trends.
Improving capital efficiency	Capital expenditure, utilisation disclosures and cash-flow conversion.
Greater regulatory clarity	Official decisions and disclosed operational or financial consequences.

8 Principal risks

Search disruption: Changes in user behaviour or competition could weaken advertising monetisation.

Investment risk: Infrastructure spending may generate lower or slower returns than forecast.

Cloud competition: Pricing pressure or slower demand could constrain growth and margins.

Regulatory risk: Legal outcomes could affect distribution arrangements, costs or business practices.

Model risk: Limited disclosure and uncertain long-term assumptions may cause the valuation to overstate or understate intrinsic value.

9 Thesis reassessment

I would become more positive if evidence supported stronger sustainable cash generation than assumed in the base case, or if the share price offered a greater margin of safety. I would become more cautious if Search economics weakened, Cloud growth failed to translate into profit, or investment requirements increased without sufficient additional cash flow.

A change in share price alone would not establish whether the operating thesis was correct; I would compare business performance with the original forecasts.

10 Conclusion

At the valuation date, my model estimates intrinsic value of $[X] per share against a market price of $[X], implying [X]% upside or downside.

My resulting recommendation is [BUY / HOLD / SELL], supported by [principal findings]. The conclusion is most sensitive to [key assumptions], and the main evidence that would change my assessment is [specific developments].

Sources and methodology

Source references, historical financial data, model assumptions and calculations will be available in the accompanying GitHub repository. Add document titles, reporting periods, URLs and page or table references for each material claim and financial input.

Structure reference: Microsoft Investment Thesis by Selwyn Rai, supplied as an example. Its Microsoft figures and recommendation have not been used as Alphabet inputs.

Source or model reference	Information supported
[Annual report and relevant pages]	[Historical financials and business disclosures]
[Quarterly filing and relevant pages]	[Financial updates available at cutoff]
[Market data source and date]	[Share price and valuation inputs]
[Workbook filename and worksheet]	[Forecasts, DCF and sensitivity outputs]

This research is prepared for educational purposes and does not constitute investment advice. Forecasts are estimates, and the working draft does not yet establish a recommendation.